

COVER SHEET

SEC Registration Number

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COMPANY NAME

[illegible]

PRINCIPAL OFFICE (No. / Street / Barangay / City / Town / Province)

[illegible]

Form Type

1	7	-	Q
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Department requiring the report

C	R	M	D
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Secondary License Type, If Applicable

N	/	A	
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COMPANY INFORMATION

Company's Email Address

palholdingsinc2015@gmail.com

Company's Telephone Number

(02) 8810-2451

Mobile Number

09063675189

No. of Stockholders

6,460 as of September 30, 2025

Annual Meeting (Month / Day)

Last Thursday of May

Fiscal Year (Month / Day)

12/31

CONTACT PERSON INFORMATION

The designated contact person ***MUST*** be an Officer of the Corporation

Name of Contact Person

Susan T. Lee

Email Address

susan.lee@tanduay.com

Telephone Number/s

(02) 8869-8336

Mobile Number

N/A**CONTACT PERSON'S ADDRESS**

7/F PNB Makati Center, 6754 Ayala Avenue, Makati City

NOTE 1: In case of death, resignation or cessation of office of the officer designated as contact person, such incident shall be reported to the Commission within thirty (30) calendar days from the occurrence thereof with information and complete contact details of the new contact person designated.

2 : All Boxes must be properly and completely filled-up. Failure to do so shall cause the delay in updating the corporation's records with the Commission and/or non-receipt of Notice of Deficiencies. Further, non-receipt of Notice of Deficiencies shall not excuse the corporation from liability for its deficiencies.

SECURITIES AND EXCHANGE COMMISSION
SEC FORM 17-Q
QUARTERLY REPORT PURSUANT TO
SECTION 17 OF THE SECURITIES REGULATION CODE

1. For the quarterly period ended September 30, 2025
2. SEC Identification Number PW- 94
3. BIR Tax Identification No. 000-707-922-000
4. Exact name of registration as specified in its charter PAL Holdings, Inc.
5. Metro Manila, Philippines
(Province, country or other jurisdiction of incorporation or organization)
6. Industry Classification Code: (SEC Use Only)
7. Lucio K. Tan, Jr. Center, Philippine Airlines PAL Gate 5 Andrews Avenue, Pasay City
Address of principal office including postal code 1300
Postal Code
8. (632) 8810-2451
Registrant's telephone number, including area code
9. Not Applicable
Former name, former address, former fiscal year, if changed since last report
10. Securities registered pursuant to Section 8 and 12 of the SRC

Title of Each Class	Number of Shares of Common Stock Outstanding and Amount of Debt Outstanding
Common Stock	26,852,106,890
11. Are any or all of these securities listed on the Philippine Stock Exchange?
Yes [☒] No [☐]
Philippine Stock Exchange/Common Stock – 25,755,747,644 shares
12. Check whether the registrant:
 - (a) has filed all reports required to be filed by Section 17 of the SRC and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding twelve (12) months (or for such shorter period the registrant was required to file such reports)
Yes [☒] No [☐]
 - (b) has been subject to such filing requirements for the past 90 days.
Yes [☒] No [☐]

PART I - FINANCIAL INFORMATION

Item 1. Financial Statements

The unaudited interim consolidated financial statements of PAL Holdings, Inc. (the Company) and its subsidiaries as of and for the period ended September 30, 2025 (with comparative figures as of December 31, 2024 and for the period ended September 30, 2024) are filed as part of this form 17-Q as Annex "A".

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations

The information required by Part IV, Paragraph a (2) (B) of SRC 12 is attached hereto as Annex "B"

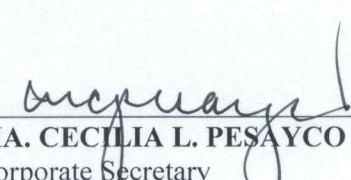
PART II – OTHER INFORMATION

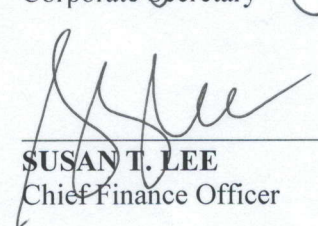
Not Applicable – There are no disclosures not made under SEC form 17-C

SIGNATURES

Pursuant to the requirements of the Securities and Regulation Code, the registrant has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

Issuer/Registrant : **PAL HOLDINGS, INC.**

Signature and Title : 
MA. CECILIA L. PESAYCO
Corporate Secretary

Signature and Title : 
SUSAN T. LEE
Chief Finance Officer

Date : **November 10, 2025**

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Annex “A”

PAL HOLDINGS, INC. AND SUBSIDIARIES

Unaudited Interim Condensed Consolidated Financial Statements
As of September 30, 2025 and December 31, 2024
And for the Period Ended September 30, 2025 and 2024

**PAL HOLDINGS, INC.
AND SUBSIDIARIES**

UNAUDITED INTERIM CONDENSED CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
(Amounts in Thousands)

	September 30, 2025	December 31, 2024
ASSETS		
Current Assets		
Cash and cash equivalents (Note 3)	₱23,469,503	₱23,268,478
Receivables (Note 4)	6,799,625	21,403,418
Expendable parts, fuel, materials, and supplies (Note 5)	6,004,684	5,951,263
Other current assets (Note 6)	9,098,271	10,061,576
Total Current Assets	45,372,083	60,684,735
Noncurrent Assets		
Property and equipment (Note 7)		
At cost	143,498,680	131,662,051
At appraised values	923,920	1,039,359
Investment properties (Note 8)	276,606	274,937
Deferred income tax assets	4,334,671	4,697,592
Other noncurrent assets (Note 10)	25,874,976	14,902,051
Total Noncurrent Assets	174,908,853	152,575,990
TOTAL ASSETS	₱220,280,936	₱213,260,725
LIABILITIES AND EQUITY		
Current Liabilities		
Accounts payable (Note 11)	7,966,487	9,382,387
Accrued expenses and other current liabilities (Note 12)	22,479,224	24,274,064
Unearned transportation revenue (Note 12)	27,847,518	28,068,511
Current portion of long-term obligations (Note 13)	23,800,942	25,163,584
Total Current Liabilities	82,094,171	86,888,546
Noncurrent Liabilities		
Long-term obligations - net of current portion (Note 13)	56,473,166	55,056,846
Accrued employee benefits	17,688,380	16,806,566
Reserves and other noncurrent liabilities (Note 14)	10,999,041	11,627,420
Total Noncurrent Liabilities	85,160,587	83,490,832
Total Liabilities	167,254,758	170,379,378
Equity		
Capital stock (Note 15)	25,040,882	25,040,882
Additional paid-in capital	2,557,808	2,557,808
Other equity reserves	1,354,054	1,354,054
Other components of equity	214,200	157,102
Retained Earnings	11,701,162	2,538,030
Treasury stock - at cost	(25)	(25)
Equity Attributable to the Equity Holders of the Parent Company	40,868,081	31,647,851
Non-controlling Interests	12,158,097	11,233,496
Total Equity	53,026,178	42,881,347
TOTAL LIABILITIES AND EQUITY	₱220,280,936	₱213,260,725

**PAL HOLDINGS, INC.
AND SUBSIDIARIES**

**UNAUDITED INTERIM CONDENSED CONSOLIDATED STATEMENTS OF COMPREHENSIVE
INCOME**

(Amounts in Thousands, Except Earnings (Loss) Per Share)

	Nine Months Ended September 30		For the Quarter Ended September 30	
	2025	2024	2025	2024
REVENUE				
Passenger	₱116,564,781	₱115,663,031	₱36,101,065	₱35,821,453
Cargo	6,707,054	6,474,458	2,395,634	2,349,666
Ancillary	12,672,017	10,244,829	4,166,317	3,347,338
Others	68,529	65,114	9,456	6,927
	136,012,381	132,447,432	42,672,472	41,525,384
EXPENSES				
Flying operations	64,006,643	64,692,840	21,174,177	21,786,901
Maintenance	17,483,300	17,483,242	4,952,926	5,893,238
Aircraft and traffic servicing	16,583,222	13,870,185	5,583,717	4,756,753
Passenger service	10,738,749	9,654,173	3,459,390	3,320,708
Reservation and sales	10,887,880	9,899,669	3,273,576	3,105,229
General and administrative	5,149,785	4,486,069	1,751,000	928,889
	124,849,579	120,086,178	40,194,786	39,791,718
OTHER CHARGES (INCOME)				
Financing charges	4,481,839	5,417,401	1,530,835	1,571,608
Other charges (income) - net	(4,067,625)	(1,566,153)	(1,162,982)	(644,123)
	414,214	3,851,248	367,853	927,485
INCOME BEFORE INCOME TAX	10,748,588	8,510,006	2,109,833	806,181
INCOME TAX EXPENSE (BENEFIT)	867,529	434,692	462,892	(106,815)
NET INCOME	9,881,059	8,075,314	1,646,941	912,996
OTHER COMPREHENSIVE INCOME (LOSS)				
Net changes in fair values of financial assets at FVTOCI	(160,602)	263,330	49,891	251,336
Effect of foreign exchange translation	410,988	275,115	1,745,136	(2,029,712)
Revaluation increment	13,386	-	-	-
TOTAL OTHER COMPREHENSIVE INCOME (LOSS)	263,772	538,445	1,795,027	(1,778,376)
TOTAL COMPREHENSIVE INCOME (LOSS)	₱10,144,831	₱8,613,759	3,441,968	(865,380)
Net income attributable to:				
Equity holders of the Parent Company	₱9,030,387	₱6,757,484	₱1,371,717	₱789,789
Non-controlling interests	850,672	1,317,830	275,224	123,207
	₱9,881,059	₱8,075,314	₱1,646,941	₱912,996
Total comprehensive income (loss) attributable to:				
Equity holders of the Parent Company	₱9,220,230	₱7,099,467	₱2,798,555	₱(484,559)
Non-controlling interests	924,601	1,514,292	643,413	(380,821)
	₱10,144,831	₱8,613,759	₱3,441,968	₱(865,380)
Basic/Diluted Earnings Per Share*				
Computed based on Net Income	₱0.336	₱0.363	₱0.051	₱0.042
Computed based on Total Comprehensive Income (Loss)	₱0.343	₱0.382	₱0.104	₱(0.026)

*Computed using the weighted average number of outstanding shares of stock of 26,852,106,890 for the period ended September 30, 2025, and 18,596,495,539 for the period ended September 30, 2024.

**PAL HOLDINGS, INC.
AND SUBSIDIARIES**

**UNAUDITED INTERIM CONDENSED CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
FOR THE PERIOD ENDED SEPTEMBER 30, 2025 AND 2024
(Amounts in Thousands)**

	Other Components of Equity														
	Capital Stock	Deposit for Future Stock Subscription	Additional Paid-In Capital	Other Equity Reserves	Effect of Change in Ownership Interest	Cumulative Translation Adjustment	Net Changes in Fair Values of Financial Assets at FVTOCI	Revaluation Increment	Remeasurement Gains (Losses) on Defined Benefit Plans	Subtotal	Retained Earnings (Deficit)	Treasury Stock	Total Equity (Capital Deficiency) Attributable to Equity Holders of the Parent	Non- Controlling Interest	Total
BALANCES AT DECEMBER 31, 2023	₱9,799,753	₱12,907,210	₱3,010	₱1,354,054	₱163,398	(₱1,474,513)	₱403,523	₱506,328	(₱1,042,582)	(₱1,443,846)	(₱4,622,978)	(₱25)	₱17,997,178	₱15,306,380	₱33,303,558
Net income for the period	—	—	—	—	—	—	—	—	—	—	6,757,484	—	6,757,484	1,317,830	8,075,314
Other comprehensive income	—	—	—	—	—	78,428	263,555	—	—	341,983	—	—	341,983	196,462	538,445
Total comprehensive income for the period	—	—	—	—	—	78,428	263,555	—	—	341,983	6,757,484	—	7,099,467	1,514,292	8,613,759
Issuance of new shares	15,241,129	(12,907,210)	2,554,798	—	—	—	—	—	—	—	—	—	4,888,717	(5,041,129)	(152,412)
Transfer of portion of revaluation increment in property realized through depreciation, net of deferred income tax effect and foreign exchange adjustment	—	—	—	—	—	—	—	(100,313)	—	(100,313)	100,313	—	—	—	—
BALANCES AT SEPTEMBER 30, 2024	₱25,040,882	₱—	₱2,557,808	₱1,354,054	₱163,398	₱(1,396,085)	₱667,078	₱406,015	(₱1,042,582)	₱(1,202,176)	₱2,234,819	(₱25)	₱29,985,362	₱11,779,543	₱41,764,905
BALANCES AT DECEMBER 31, 2024	₱25,040,882	₱—	₱2,557,808	₱1,354,054	₱365,379	(₱327,200)	₱579,235	₱448,275	(₱908,587)	₱157,102	₱2,538,030	(₱25)	₱31,647,851	₱11,233,496	₱42,881,347
Net income for the period	—	—	—	—	—	—	—	—	—	—	9,030,387	—	9,030,387	850,672	9,881,059
Other comprehensive income (loss)	—	—	—	—	—	337,370	(160,631)	13,104	—	189,843	—	—	189,843	73,929	263,772
Total comprehensive income (loss) for the period	—	—	—	—	—	337,370	(160,631)	13,104	—	189,843	9,030,387	—	9,220,230	924,601	10,144,831
Transfer of portion of revaluation increment in property realized through depreciation, net of deferred income tax effect and foreign exchange adjustment	—	—	—	—	—	—	—	(132,745)	—	(132,745)	132,745	—	—	—	—
BALANCES AT SEPTEMBER 30, 2025	₱25,040,882	₱—	₱2,557,808	₱1,354,054	₱365,379	₱10,170	₱418,604	₱328,634	(₱908,587)	₱214,200	₱11,701,162	(₱25)	₱40,868,081	₱12,158,097	₱53,026,178

**PAL HOLDINGS, INC.
AND SUBSIDIARIES**

UNAUDITED INTERIM CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS
(Amounts in Thousands)

	Nine Months Ended September 30	
	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Income before income tax	₱10,748,588	₱8,510,006
Adjustments for:		
Depreciation and amortization	16,743,746	13,102,382
Financing charges	4,498,765	5,417,400
Interest income	(674,187)	(1,469,384)
Income from credit memos	(1,533,115)	-
Unrealized foreign exchange loss (gain)-net	(915,652)	(201,602)
Movement in accrued employee benefits payable	875,920	1,081,471
Loss on disposal of property and equipment and others	-	27,175
Other noncurrent liabilities-net	(361,164)	(74,296)
Dividend Income	(15,101)	(13,728)
Operating income before changes in working capital	29,367,800	26,379,424
Decrease in:		
Receivables – net	4,566,591	2,800,108
Expendable parts, fuel, materials and supplies	(34,801)	(686,922)
Other current assets	1,044,727	915,522
Increase (decrease) in:		
Accounts payable	(1,169,484)	(1,824,232)
Accrued expenses and other current liabilities	(2,728,826)	(4,179,051)
Unearned transportation revenue	(1,073,716)	5,587,200
Net cash generated from operations	29,972,291	28,992,049
Financing charges paid	(2,848,811)	(3,485,794)
Interest income received	410,847	1,496,350
Income taxes paid, including creditable withholding and final taxes	(606,202)	(531,511)
Net cash flows from operating activities	26,928,125	26,471,094
CASH FLOWS FROM INVESTING ACTIVITIES		
Investment in money market placements	-	16,075,567
Additions to property and equipment – net	(18,259,047)	(15,084,601)
Additions to security deposits – net	(2,326,269)	(230,283)
Return of various deposits	2,356,880	153,186
Dividends received	15,101	13,728
Proceeds from disposal of:		
Asset held for sale	-	83,933
Net cash flows from (used in) investing activities	(18,213,335)	1,011,530
CASH FLOWS FROM FINANCING ACTIVITIES		
Payments of:		
Long-term obligations	(22,405,169)	(20,080,704)
Share Issuance costs	-	(152,411)
Availment of long-term obligations	13,006,806	-
Collection of advances to related party	-	157,000
Net cash flows used in financing activities	(9,398,363)	(20,076,115)
EFFECT OF EXCHANGE RATE CHANGES		
ON CASH AND CASH EQUIVALENTS	884,598	(234,771)
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	201,025	7,171,738
CASH AND CASH EQUIVALENTS AT BEGINNING OF PERIOD	23,268,478	24,272,441
CASH AND CASH EQUIVALENTS AT END OF PERIOD	₱23,469,503	₱31,444,179

**PAL HOLDINGS, INC.
AND SUBSIDIARIES**

**NOTES TO UNAUDITED INTERIM CONDENSED CONSOLIDATED FINANCIAL
STATEMENTS**

1. Corporate Information

PAL Holdings, Inc. (the Parent Company or PHI) was incorporated in the Philippines on May 10, 1930 to engage in the business of a holding company. On October 5, 1979, the Parent Company applied and was granted an extension of its corporate life by the Philippine Securities and Exchange Commission (SEC) for another 50 years from May 1980.

The Parent Company and its subsidiaries (collectively referred to herein as “the Group”), is primarily engaged in air transport of passengers and cargo within the Philippines and between the Philippines and several international destinations. The Group operates through its major subsidiaries; Philippine Airlines, Inc. (PAL or the Airline), the Philippine national flag carrier, and Air Philippines Corporation (APC), a subsidiary under common control that was indirectly acquired by the Parent Company through Zuma Holdings Management Corporation (ZUMA) in 2017.

As of September 30, 2025 and December 31, 2024, the Parent Company is 37.99% owned by Buona Sorte Holdings, Inc. (BSHI), 33.26% owned by Trustmark Holdings Corporation (Trustmark) and 28.75% owned by other shareholders. As of December 31, 2023, Trustmark has 76.92% ownership interest in the Parent Company. Trustmark is 60% owned by Buona Sorte Holdings, Inc. (BSHI) and 40% owned by Horizon Global Investments, Ltd. (HGIL). BSHI is considered as the ultimate parent of the Group. BSHI and Trustmark were both incorporated in the Philippines and are part of the Lucio Tan Group of Companies, while HGIL was incorporated in the British Virgin Islands.

In 2021, BSHI provided cash to the Parent Company as a deposit for future stock subscription. On December 29, 2021, the Parent Company applied for the increase in authorized capital stock where the subscribed shares will be settled partly by the deposit from BSHI and partly by the stock swap with the participating holders of PAL shares, being the former Supporting Creditors of PAL under the 2021 Restructuring Plan (the Plan).

On April 15, 2024, the Philippine SEC approved the Parent Company’s application for the increase in authorized capital stock. As a result, the Parent Company applied the deposit to the capital stock issued to BSHI, giving BSHI 37.99% direct ownership in the Parent Company. The Parent Company also issued new shares to the participating shareholders in exchange for their holdings in PAL. Thus, the Parent Company increased its ownership in PAL to 97.89% as of December 31, 2024, from 79.49% as of December 31, 2023.

Following the issuance of shares to BSHI and the Supporting Creditors in 2024, the ownership interest of Trustmark in the Parent Company was reduced to 33.26%.

On February 26, 2024, the BOD approved the change in the principal office address of the Parent Company to Lucio K. Tan, Jr. Center, Philippine Airlines, PAL Gate 5, Andrews Avenue, Pasay City, Metro Manila. The application filed with the Philippine Securities and Exchange Commission (SEC) for the amendment of its Articles of Incorporation was approved on March 11, 2025.

The Parent Company’s registered office address is Lucio K. Tan, Jr. Center, Philippine Airlines, PAL Gate 5, Andrews Avenue, Pasay City, Metro Manila

On June 28, 2024, The Company applied for listing with the Philippine Stock Exchange 15,241,128,648 newly issued common shares. On January 27, 2025, The Philippine Stock Exchange approved the changes of listed shares from 10,514,618,996 shares to 25,755,747,644 shares.

2. Material Accounting Policy Information

Basis of Preparation

The interim condensed consolidated financial statements for the six months ended June 30, 2025 have been prepared in accordance with PAS 34 Interim Financial Reporting. The Group has prepared the financial statements on the basis that it will continue to operate as a going concern. The Board of Directors consider that there are no material uncertainties that may cast significant doubt over this assumption. They have formed a judgement that there is a reasonable expectation that the Group has adequate resources to continue in operational existence for the foreseeable future, not less than 12 months from the end of the reporting period.

The interim condensed consolidated financial statements do not include all the information and disclosures required in the annual financial statements and should be read in conjunction with the Group's annual consolidated financial statements as of December 31, 2024.

Statement of Compliance

The consolidated financial statements have been prepared in accordance with Philippine Financial Reporting Standards (PFRS) Accounting Standards.

Changes in Accounting Policies

The accounting policies adopted in the preparation of the interim condensed consolidated financial statements are consistent with those followed in the preparation of the Group's annual consolidated financial statements for the year ended December 31, 2024. The Group has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective.

One amendment applies for the first time in 2025, but does not have significant impact on the interim condensed consolidated financial statements of the Group.

- Amendments to PAS 21, *The Effects of Changes in Foreign Exchange Rates, Lack of Exchangeability*

The amendments specify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking.

The amendments will be effective for annual reporting periods beginning on or after January 1, 2025. The amendments are not expected to have a material impact on the Group's financial statements.

- PFRS 18, *Presentation and Disclosure in Financial Statements*

PFRS 18 introduces new requirements for presentation within the statement of profit or loss, including specified totals and subtotals. Furthermore, entities are required to classify all income and expenses within the statement of profit or loss into one of five categories: operating, investing, financing, income taxes and discontinued operations, whereof the first three are new. It also requires disclosure of newly defined management-defined performance measures, subtotals of income and expenses, and includes new requirements for aggregation and disaggregation of financial information based on the identified 'roles' of the primary financial statements (PFS) and the notes. In addition, narrow-scope amendments have been made to PAS 7 Statement of Cash Flows, which include changing the starting point for determining cash flows from operations under the indirect method, from 'profit or loss' to 'operating profit or loss' and removing the optionality around classification of cash flows from dividends and interest. In addition, there are consequential amendments to several other standards.

PFRS 18, and the amendments to the other standards, is effective for reporting periods beginning on or after January 1, 2027, but earlier application is permitted and must be disclosed. PFRS 18

will apply retrospectively. The Group is currently working to identify all impacts the amendments will have on the primary financial statements and notes to the financial statements.

Basis of Consolidation

The consolidated financial statements comprise the financial statements of the Parent Company and its subsidiaries as at September 30, 2025 and December 31, 2024. The financial statements of the subsidiaries are prepared using consistent accounting policies as those of the Parent Company.

The subsidiaries and the respective percentages of ownership of the Parent Company as at September 30, 2025 and December 31, 2024 are as follows:

	September 30, 2025		December 31, 2024	
	Direct	Indirect	Direct	Indirect
PAL	97.89%	0.002%	97.89%	0.002%
Sabre Travel Network (Philippines), Inc. (Sabre)	–	81.25%	–	81.25%
PAL Receivables Co. Ltd. (PRC)	–	–	–	–
Mabuhay Miles Inc. (MMI)	–	97.89%	–	97.89%
Mabuhay Maritime Express Transport Inc. (MMET)	–	97.89%	–	97.89%
Fortunate Star Limited (FSL)	–	63.63%	–	63.63%
PR Holdings, Inc. (PRI)	82.33%	–	82.33%	–
ZUMA	51.00%	–	51.00%	–
APC	–	50.98%	–	50.98%
GuidetothePhilippines Inc. (Guide)	–	28.05%	–	28.05%

The subsidiaries' operation and principal activity are as follows: PAL and APC are primarily engaged in air transport of passengers and cargo within the Philippines and between the Philippines and several international destinations; Sabre engages in development and marketing of computerized airline reservation system; PRC is a structured entity over which PAL has control; FSL is a holding company of various entities with whom PAL has lease agreements; MMI was intended to promote the frequent flyer program of PAL; PRI and ZUMA are holding companies; MMET is a company established in 2016 which engaged in water transportation of passengers and cargoes. Guide is a newly established entity intended to develop and operate an inbound business-to-consumer (B2C) online travel marketplace. PAL, Sabre, MMI, MMET, PRI, ZUMA, APC and Guide are domiciled in the Philippines while PRC and FSL are incorporated in Cayman Islands. MMI commenced its operations in 2018 and ceased its operations in 2019. MMET started and ceased commercial operations in 2019.

The financial statements of the subsidiaries are prepared for the same reporting period as the Parent Company. All intra-group balances, transactions, unrealized gains and losses, resulting from intragroup transactions and dividends are eliminated in full.

Fair Value Measurement

The Group measures financial instruments, such as financial assets at FVTOCI, and nonfinancial assets such as buildings and improvements carried at revalued amounts, at fair value at the end of reporting period.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

Financial Instruments

Financial assets measured at amortized cost

The Group's cash and cash equivalents, short-term investments, receivables, security deposits and due from a related party are classified under this category because the following conditions were met:

- The financial asset is held to collect the contractual cash flows; and
- Contractual terms of the financial asset give rise to cash flows that are solely payments of principal and interest on the principal amount outstanding.

After initial measurement, these financial assets are subsequently measured at amortized cost using the effective interest method, less allowance for impairment.

Financial assets at FVTOCI (equity instruments)

The Group elected to classify irrevocably its listed equity investment under this category because the following conditions were met:

- The financial asset is held within a business model whose objective is achieved by both collecting the contractual cash flows and selling the financial asset; and
- Contractual terms of the financial asset give rise to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Gains and losses on these financial assets are never recycled to profit or loss. Equity instruments designated at fair value through OCI are not subject to impairment assessment. Dividend income on financial asset at FVTOCI is recognized when the Group's right to receive the payment is established.

Financial liabilities measured at amortized cost

The Group's accounts payable and accrued expenses and other current liabilities and long-term obligations are classified under this category.

After initial recognition, these financial liabilities are carried at amortized cost, taking into account the impact of applying the effective interest method of amortization (or accretion) for any related premium, discount and any direct attributable transaction cost.

Embedded Derivatives

The Group assesses whether an embedded derivative is required to be separated from the host contract and accounted for as a derivative when the entity first becomes a party to the contract. Changes in fair values of derivatives are included in profit or loss. Derivatives are carried as assets when the fair value is positive and as liabilities when the fair value is negative.

Derecognition of Financial Assets and Financial Liabilities

The Group's financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) are generally derecognized when the rights to receive the cash flows from the asset have expired.

A financial liability is derecognized when the obligation under the liability is discharged, cancelled or has expired.

Impairment of Financial Assets

The Group recognizes an allowance for expected credit losses (ECLs) for all debt instruments not held at FVTPL. ECLs are based on the difference between the contractual cash flows and all the discounted cash flows that the Group expects to receive, which include cash flows from the sale of collateral held or other credit enhancements.

ECLs are recognized in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12 months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

For general trade receivables, the Group applies a simplified approach in calculating ECLs. Therefore, the Group does not track changes in credit risk, but instead recognizes a loss allowance based on lifetime ECLs at each reporting date. The Group has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

Offsetting of Financial Instruments

Financial assets and financial liabilities are offset and the net amount reported in the consolidated statement of financial position if there is a currently enforceable legal right to set off the recognized amounts and there is intention to settle on a net basis, or to realize the asset and settle the liability simultaneously. The Group assesses that it has a currently enforceable right of offset if the right is not contingent on a future event, and is legally enforceable in the normal course of business, event of default, and event of insolvency or bankruptcy of the Group and all of the counterparties.

Expendable Parts, Fuel, Materials and Supplies

Expendable parts, fuel, materials and supplies are stated at the lower of cost and net realizable value. Cost is determined using the moving weighted average method. Net realizable value represents replacement cost of these expendable parts, fuel, materials and supplies, considering factors such as age and physical condition of these assets.

Property and Equipment

Property and equipment (except buildings and improvements) are stated at cost less accumulated depreciation and any impairment in value. Buildings and improvements are stated at revalued amounts less accumulated depreciation and any impairment in value. Revalued amounts were determined based on valuations performed by various qualified, independent and Philippine SEC-accredited appraisers. Revaluations are made with sufficient regularity.

For subsequent revaluations, the accumulated depreciation at the date of the revaluation is eliminated against the gross carrying amount of the asset. The amount of adjustment to accumulated depreciation forms part of the increase or decrease in the carrying amount. Any resulting increase in the asset's carrying amount as a result of the revaluation is recognized as OCI credited directly to equity as "Revaluation increment", which is net of deferred income tax effect. Any resulting decrease is directly charged against the related revaluation increment previously recognized in respect of the same asset and any excess is charged against profit or loss.

The portion of revaluation increment is transferred to retained earnings when these are realized through depreciation or upon the disposal or retirement of buildings and improvements.

The initial cost of property and equipment comprises its purchase price, any related capitalizable borrowing costs attributed to predelivery payments incurred on account of aircraft acquisition and other qualifying assets under construction, and other directly attributable costs of bringing the asset to its working condition and location for its intended use. Manufacturers' credits received from aircraft and engine manufacturers which were directly applied against the purchase price of the aircraft are recorded upon delivery of the related aircraft and engines as a reduction from the cost of the property and equipment (including those under finance lease). Manufacturer's credits that are not applied to aircraft and engines purchased, and whose risks and rewards are retained with the Group, are recognized as income as it is earned.

Expenditures incurred after the property and equipment have been put into operation, such as repairs and maintenance costs, are normally charged to profit or loss in the period in which the costs are incurred. In situations where it can be clearly demonstrated that the expenditures have resulted in an increase in the future economic benefits expected to be obtained from the use of an item of property and equipment beyond its originally assessed standard of performance, the expenditures are capitalized as additional cost of property and equipment.

Expenditures for scheduled and mandatory heavy maintenance on aircraft's airframe and landing gear are capitalized at cost and depreciated over the estimated number of years until the next major overhaul. Generally, heavy maintenance visits are required every six to eight years for airframe and 10 years for landing gear.

Depreciation, which commences when the asset is available for its intended use, is computed on a straight-line basis over the following estimated useful lives of the assets:

	Number of Years
Passenger aircraft	4 to 20
Engines	4 to 20
Buildings and improvements	5 to 40
Rotable and reparable parts	3 to 18
Ground property and equipment	3 to 8
Leasehold improvements (whichever is shorter between the lease term or life of the improvements)	4 to 12

Leasehold improvements are amortized over the term of the lease or life of the improvements, whichever is shorter. Assets under lease arrangements are depreciated over the term of the lease or the useful life of the asset, whichever is shorter, unless there is purchase option reasonably certain to be exercised by the Group. In which case, the asset is depreciated over its useful life.

“Construction in progress” represents aircraft, buildings and improvements and other ground property under construction, while “Predelivery payments” represent advance payments for aircraft acquisition. “Construction in progress” and “Predelivery payments” are not depreciated until such time when the construction of the relevant assets is completed and when assets are available for their intended use.

Leases

Right-of-use assets

Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognized, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received.

The right-of-use assets are classified in the consolidated statement financial position as part of property and equipment. Unless the Group is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognized right-of-use assets are depreciated on a straight-line basis over the shorter of its estimated useful life and the lease term, is presented below:

	Number of Years
Passenger aircraft	4 to 20
Engines	4 to 20
Ground property and equipment	3 to 8
Leasehold improvements (whichever is shorter between the lease term or life of the improvements)	4 to 12

If the Group is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the right-of-use assets are depreciated based on the estimated useful life of the underlying assets.

Lease liabilities

At the commencement date of the lease, the Group recognizes lease liabilities measured at the present value of lease payments to be made over the lease term, which are classified as long-term obligations in the consolidated statement of financial position. The lease payments include fixed payments (including in substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Group and payments of penalties for terminating a lease, if the lease term reflects the Group exercising the option to terminate. The variable lease payments that do not depend on an index or a rate are recognized as expense in the period on which the event or condition that triggers the payment occurs.

In calculating the present value of lease payments, the Group uses the incremental borrowing rate at the lease commencement date if the interest rate implicit in the lease is not readily determinable.

Lease modifications and termination

After the commencement date, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the in-substance fixed lease payments or a change in the assessment to purchase the underlying asset. The Group remeasures the lease liability to reflect changes to the lease payments. The Group determines the revised discount rate as the interest rate implicit in the lease for the remainder of the lease term, if that rate can be readily determined, or the incremental borrowing rate at the date of reassessment, if the interest rate implicit in the lease cannot be readily determined. The Group recognizes the amount of the remeasurement of the lease liability as an adjustment to the right-of-use asset. However, if the carrying amount of the right-of-use asset is reduced to zero and there is a further reduction in the measurement of the lease liability, the Group recognizes any remaining amount of the remeasurement in profit or loss.

In the case of lease termination, the Group decreases the carrying amount of the right-of-use assets to reflect the partial or full termination of the lease for lease modifications that decrease the scope of the lease. The Group recognizes in profit or loss any gain or loss relating to the partial or full termination of the lease.

Short-term leases and leases of low-value assets

The Group applies the short-term lease recognition exemption to its short-term leases (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). It also applies the lease of low-value assets recognition exemption to leases of office equipment that are considered of low value. Lease payments on short-term leases and leases of low-value assets are recognized as expense on a straight-line basis over the lease term.

Group as lessor

Leases where the Group does not transfer substantially all the risks and rewards of ownership of the assets are classified as operating leases. Lease income is recognized on a straight-line basis over the lease term.

Sale and leaseback transactions

A sale and leaseback transaction involves the sale of an asset and the leasing back of the same asset. If a sale and leaseback transaction results in an operating lease, and it is clear that the transaction is at fair value, any profit or loss is recognized immediately. If the sale price is below fair value, any profit or loss is recognized immediately except that, if the loss is compensated for by future lease payments below market price, it is deferred and amortized in proportion to the lease payments over the period for which the asset is expected to be used. If the sale price is above fair value, the excess

fair value is deferred and amortized over the period for which the asset is expected to be used. If a sale and leaseback transaction results in a finance lease, any difference between the sales proceeds and the carrying amount is deferred and amortized over the lease term.

If the Group is a seller-lessee, the Group determines after the commencement date in a sale and leaseback transaction the 'lease payments' or 'revised lease payments' in such a way that the Group would not recognize any amount of the gain or loss that relates to the right of use retained by the Group.

Heavy Maintenance Visits (HMV)

The Group is contractually required under various lease contracts to undertake the maintenance and overhaul of certain leased aircraft throughout the contract period. Major maintenance events are required to be performed on a regular basis based on historical or industry experience and manufacturers' advice.

The specific event that gives rise to the obligation is each flown hour or cycle completed by the aircraft as these determine the timing and nature of the overhaul that must be carried out. Accordingly, provision is made for the costs of overhaul as the obligation towards the lessor arises (typically based upon the specific requirements of each aircraft type such as each flown hour or cycle), with a corresponding expense recognized in the statement of comprehensive income. Changes in the amount of the provision in the period of reassessment are recognized under "Accrued maintenance" account, with corresponding adjustment in the related repairs and maintenance expense category.

For certain lease agreements, the Group provides for these costs over terms of the leases through contribution to a maintenance reserve fund (MRF), based on aircraft hours flown and engine cycles until the next scheduled checks. The actual contribution to the MRF is recognized as a reduction to the accrued maintenance for HMV.

Asset Restoration Obligation (ARO)

The Group is required under various aircraft lease agreements to restore the leased aircraft to their original condition and to bear the cost of dismantling and restoration at the end of the lease term.

If the estimated cost of dismantling and restoration is expected to exceed the cumulative MRF or where the lease agreement does not require contribution of MRF, an additional obligation is recognized over the remaining term of the leases.

Investment Properties

Investment properties include parcels of land, buildings and improvements that are not used in operations. Investment properties are measured initially at cost, including any transaction costs. Investment properties (except land) are subsequently measured at cost less accumulated depreciation and any impairment in value. Land is subsequently carried at cost less any impairment in value.

Impairment of Property and Equipment, including Right-of-Use Assets, and Investment Properties

The carrying values of property and equipment, including right-of-use assets, and investment properties are reviewed for impairment when events or changes in circumstances indicate that the carrying values may not be recoverable. If any such indication exists and where the carrying values exceed the estimated recoverable amounts, the assets or cash generating units (CGU) are written down to their recoverable amounts. The recoverable amount is the greater of fair value less costs to sell and value-in-use. In assessing value-in-use, the estimated future cash flows are discounted to their present value using a pretax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For an asset that does not generate largely independent cash inflows, the recoverable amount is determined for the CGU to which the asset belongs. Impairment losses, if any, are recognized in profit or loss.

Provisions and Contingencies

Provisions are recognized when (a) the Group has a present obligation (legal or constructive) as a result of a past event; (b) it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation; and (c) a reliable estimate of the amount of the obligation can be made.

Contingent liabilities are not recognized in the consolidated statement of financial position. They are disclosed in the notes to consolidated financial statements unless the possibility of an outflow of resources embodying economic benefits is remote.

Deposit for Future Stock Subscription

The Parent Company classifies deposit for future stock subscription under equity as a separate account from capital stock if, and only if, all of the following elements are present as of the end of the reporting period:

- The unissued authorized capital stock of the entity is insufficient to cover the amount of shares indicated in the contract;
- The BOD has approved on the proposed increase in authorized capital stock (for which a deposit was received by the Parent Company);
- The stockholders have approved of said proposed increase; and
- The application for the approval of said proposed increase has been filed with the Philippine SEC.

If any of the foregoing elements are not present, the deposit is recognized as a liability.

Revenue from Contracts with Customers

Revenue from contracts with customers is recognized when controls of goods or services is transferred to the customer at an amount that reflects the consideration to which the Group expects to be entitled to in exchange for the goods and services. The specific recognition criteria for each type of revenue are as follows:

Passenger ticket, cargo waybills and related fuel and insurance surcharges are recognized as revenue when the related services are rendered (e.g. over time as the passengers and cargo are flown or lifted). Customer payments for services which have not yet been rendered are classified as contract liabilities under “Unearned transportation revenue” account in the consolidated statement of financial position.

Revenue from charter, mail, excess baggage and other transport-related and ancillary services revenue are recognized when the related services have been rendered.

Revenue from estimated breakage (expiration) of unused passenger tickets are recognized based on the historical expiration experience of the Group on the unused passenger tickets.

The disaggregation of total revenue is presented in the consolidated statements of comprehensive income.

Contract balances

Contract assets

A contract asset is the right to consideration in exchange for goods or services transferred to the customer.

Trade receivables

Refer to accounting policies of financial assets in section “*Financial instruments: Financial assets measured at amortized cost*”.

Contract liabilities

A contract liability is the obligation to transfer goods or services to a customer for which the Group has received consideration (or an amount of consideration is due) from the customer. Contract liabilities are recognized as revenue when the Group performs under the contract. Contract liabilities is presented under “Unearned transportation revenue” account in the consolidated statement of financial position.

Contract Liability Under Frequent Flyer Program

PAL operates a frequent flyer program called “Mabuhay Miles”. A portion of passenger revenue attributable to the award of frequent flyer miles, estimated based on expected utilization of these benefits, is deferred until utilized. The fair value of the consideration received in respect of the initial sale is allocated to the award credits based on its relative fair value. The deferred revenue is included under “Reserves and other noncurrent liabilities” in the consolidated statement of financial position. Any remaining unutilized benefits are recognized as revenue upon redemption or expiry.

Retirement Benefits Cost and Other Long-term Employee Benefits

Accrued employee benefits, as presented in the consolidated statement of financial position, consist of retirement benefits under defined benefit plans and other long-term employee benefits.

Retirement benefits - defined benefit plans

Accrued retirement benefits is the present value of the defined benefit obligation at the end of the reporting period reduced by the fair value of plan assets, adjusted for any effect of limiting a net defined benefit asset to the asset ceiling. The asset ceiling is the present value of any economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

The cost of providing benefits under the defined benefit plans is actuarially determined using the projected unit credit method. The retirement benefits cost comprises of service cost, net interest on the net defined benefit liability or asset.

Remeasurements comprising actuarial gains and losses, difference between interest income and actual return on plan assets and any change in the effect of the asset ceiling (excluding net interest on defined benefit liability) are recognized immediately in OCI in the period in which they arise. Remeasurements are not reclassified to profit or loss in subsequent periods.

Plan assets are assets that are held by a long-term employee benefit and measured at fair value.

Other long-term employee benefits

Other long-term employee benefits such as vacation leave and sick leave commutation and retention programs are measured using the projected unit credit method. Actuarial gains and losses on these employee benefits are recognized in full in profit or loss.

Borrowing Costs

Borrowing costs are capitalized if they are directly attributable to the acquisition or construction of a qualifying asset. All other borrowing costs are expensed as incurred.

Deferred income tax

Deferred income tax is provided using the liability method on all temporary differences.

Deferred income tax liabilities are recognized for all taxable temporary differences, including asset revaluations. Deferred income tax assets are recognized for all deductible temporary differences, to the extent that is probable that sufficient future taxable profits will be available against which the deductible temporary differences can be utilized.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient future taxable profits will be available to allow all or part of the deferred income tax asset to be utilized.

Deferred income tax relating to items recognized outside profit or loss is recognized outside profit or loss. Deferred income tax items are recognized in correlation to the underlying transaction either in other comprehensive income or directly in equity.

Foreign Currency-denominated Transactions and Translations

Transactions denominated in currencies other than the Philippine Peso are recorded using the exchange rate prevailing at the date of the transaction. Outstanding monetary assets and liabilities denominated in foreign currencies are translated using the closing rate of exchange at the end of the reporting period. Any resulting foreign exchange gains or losses are taken to income or loss in the consolidated statement of comprehensive income.

The functional currency of PAL is the US Dollar (USD). As of the reporting date, the assets and liabilities of this subsidiary are translated into the presentation currency of the Group at the rate of exchange ruling at the reporting date and its statement of comprehensive income accounts are translated at the weighted average exchange rates for the year. The exchange differences arising on the translation are recognized in the consolidated statement of comprehensive income and reported as a separate component of equity as “Cumulative translation adjustment”. On disposal of a foreign subsidiary, the deferred cumulative amount recognized in equity relating to that particular foreign operation shall be recognized in profit or loss. Exchange differences arising from elimination of intragroup balances and intragroup transactions are recognized in profit or loss.

3. Cash and Cash Equivalents

	September 30, 2025	December 31, 2024
Cash on hand and in banks	₱13,640,108	₱13,495,276
Cash equivalents	9,829,395	9,773,202
	₱23,469,503	₱23,268,478

4. Receivables

	September 30, 2025	December 31, 2024
General traffic	₱7,635,543	₱9,277,980
Related parties	1,345,306	12,589,903
Non-trade*	5,087,536	6,301,161
	14,068,385	28,169,044
Less: allowance for ECL	(7,268,760)	(6,765,626)
	₱6,799,625	₱21,403,418

**Non-trade receivables include, among others, accounts under litigation, receivables from employees and other receivables.*

5. Expendable Parts, Fuel, Materials and Supplies

	September 30, 2025	December 31, 2024
At cost:		
Expendable parts	₱3,900,566	₱2,787,863
Fuel	775,811	1,817,027
Materials and supplies	380,777	363,322
	5,057,154	4,968,212
At net realizable value - expendable parts	947,530	983,051
	₱6,004,684	₱5,951,263

6. Other Current Assets

	September 30, 2025	December 31, 2024
Deposits and prepayments	₱4,311,527	₱5,261,673
Security deposits	3,572,840	2,987,694
Input VAT	451,315	1,332,431
Others	762,589	479,778
	₱9,098,271	₱10,061,576

7. Property and Equipment

	September 30, 2025	December 31, 2024
At Cost		
Cost:		
Passenger aircraft, engines and improvements	₱12,402,557	₱11,275,647
Rotable and reparable parts	16,790,559	15,104,056
Ground property and equipment	15,432,473	14,329,354
Right-of-use assets:		
Passenger aircraft, engines and leasehold improvements	194,404,878	211,065,734
Ground property and equipment	2,157,093	1,863,268
	241,187,560	253,638,059
Accumulated Depreciation:		
Passenger aircraft, engines and leasehold improvements	(6,350,231)	(6,460,495)
Rotable and reparable parts	(8,425,039)	(7,398,959)
Ground property and equipment	(11,925,524)	(11,378,196)
Right-of-use assets:		
Passenger aircraft, engines and leasehold improvements	(88,989,447)	(107,042,293)
Ground property and equipment	(515,908)	(1,263,456)
	(116,206,149)	(133,543,399)
Accumulated Impairment:		
Passenger aircraft and engines	(11,060,324)	(10,993,621)

	September 30, 2025	December 31, 2024
Rotable and reparable parts	(177,498)	(176,415)
Ground property and equipment	(11,988)	(13,476)
Construction-in-progress	(235,636)	(232,726)
	(11,485,446)	(11,416,238)
Net book value	113,495,965	108,678,422
Construction in progress	30,002,715	22,983,629
Total	₱143,498,680	₱131,662,051
At Revalued Amount		
Buildings and improvements:		
Revalued amount	₱1,392,688	₱1,370,971
Accumulated depreciation and amortization	(468,768)	(331,612)
Net book value	₱923,920	₱1,039,359

	September 30, 2025	December 31, 2024
<u>Fleet</u>		
Owned:		
Airbus A320-200	2	2
Bombardier DHC 8-400*	5	5
Bombardier DHC 8-300*	4	4
Under lease:		
Boeing B777-300ER	10	10
Airbus A350-900	2	2
Airbus A330-300	11	11
Airbus A321-231	22	22
Airbus A321-271N	6	6
Airbus A321-271NX	2	2
Airbus A320-200	13	13
Bombardier DHC 8-400 NG	11	11
	88	88

**Non-operational. These aircraft are not included in the total operating fleet of 79 as of September 30, 2025 and December 31, 2024, respectively.*

8. Investment Properties

	September 30, 2025		
	Land	Buildings and Improvements	Total
Cost			
Beginning of year	₱230,859	₱300,158	₱531,017
Translation adjustment	1,401	1,761	3,162
End of period	232,260	301,919	534,179
Accumulated depreciation			
Beginning of year	(27,476)	(228,604)	(256,080)
Depreciation	-	(58)	(58)
Translation adjustment	(167)	(1,268)	(1,435)
End of period	(27,643)	(229,930)	(257,573)
Net book value	₱204,617	₱71,989	₱276,606

	December 31, 2024		
	Land	Buildings and Improvements	Total
Cost			
Beginning of year	₱220,982	₱287,315	₱508,297
Translation adjustment	9,877	12,843	22,720
End of year	230,859	300,158	531,017
Accumulated depreciation and impairment loss			
Beginning of year	(26,301)	(218,712)	(245,013)
Depreciation	-	(116)	(116)
Translation adjustment	(1,175)	(9,776)	(10,951)
End of year	(27,476)	(228,604)	(256,080)
Net book value	₱203,383	₱71,554	₱274,937

9. Investments in Subsidiaries with Material Non-controlling Interest

PAL, including FSL, and APC are the significant subsidiaries with material non-controlling interest.

As discussed in Note 1, the Group's effective ownership interest in PAL was increased from 97.89% as of December 31, 2024, from 79.49% as of December 31, 2023. Consequently, the Group, through PAL, increased its effective ownership interest in FSL to 63.63% as of June 30, 2025 and December 31, 2024, from 51.67% in 2023.

In 2017, the Parent Company acquired 51% ownership in ZUMA, which in turn owns 99.97% interest in APC, giving the Parent Company an effective interest of 50.98% in APC.

From 2017 to 2019, there were changes in the ownership interest of PAL in FSL, from 40% to 65%. The Group recognized ₱1.35 billion in equity under "Other equity reserves" as a result of change in ownership interest, which pertains to the excess of the consideration received over net assets disposed.

10. Other Noncurrent Assets

	September 30, 2025	December 31, 2024
Noncurrent receivable from related parties	₱10,050,449	₱ -
Long-term security deposits	6,102,898	5,801,622
Deposits on aircraft leases	1,433,018	1,260,581
Manufacturers' credits	58,196	57,845
Creditable withholding taxes	4,891,028	4,771,522
Financial assets at FVTOCI	716,408	875,335
Others	2,622,979	2,135,146
	₱25,874,976	₱14,902,051

Financial assets at FVTOCI

The Group's financial assets at FVTOCI include investments in MacroAsia Corporation (MAC) amounting to ₱584.81 million and ₱746.80 million as of September 30, 2025 and December 31, 2024, respectively. This account also includes certain quoted equity investments and club shares amounting to ₱12.51 million and ₱10.99 million, and unquoted equity investments amounting to ₱119.08 million and ₱117.48 million as of September 30, 2025 and December 31, 2024, respectively.

The fair value of quoted equity investments and club shares is determined by reference to quoted

market prices as of the end of each reporting period.

The fair values of investment in share of stock of MAC were determined based on published prices in the active market while other quoted equity investments were determined by reference to quoted market prices as of the end of each reporting period. As of September 30, 2025 and December 31, 2024, the unquoted equity investments are carried at fair value, which is based on significant unobservable inputs.

On September 11, 2025, Group entered into an agreement with a related party to extend the maturity of receivables amounting to ₱10.05 billion (\$172.70 million) from September 2025 to September 2030.

Others mainly include the noncurrent portion of nontrade claims receivables.

11. Accounts Payable

	September 30, 2025	December 31, 2024
Accounts payable - General	₱4,693,903	₱5,216,141
Collections as agent	1,438,489	1,333,732
Payables to related parties	1,244,802	1,980,920
Others	589,293	851,594
	₱7,966,487	₱9,382,387

Other accounts payable include freight deposits and barter payables.

12. Accrued Expenses, Other Current Liabilities and Unearned Transportation Revenue

	September 30, 2025	December 31, 2024
Accrued expenses:		
Maintenance	₱11,514,522	₱14,344,370
Salaries and wages	1,824,442	2,489,459
Ground handling charges	1,592,067	1,697,694
Agent incentive	1,181,204	987,530
Landing and take-off fees	1,356,738	953,170
Lease charges	1,720,253	1,300,827
Taxes	167,721	681,723
Foreign station	148,458	158,206
Passenger food and supplies	372,271	427,417
Others	2,601,548	1,233,668
	₱22,479,224	₱24,274,064

Other accrued expenses include accruals for other operating expenses.

13. Long-term Obligations

	September 30, 2025	December 31, 2024
Lease liabilities	₱63,379,926	₱56,526,944
Long-term debt	16,894,182	23,693,486
	80,274,108	80,220,430
Less: current portion	23,800,942	25,163,584
	₱56,473,166	₱55,056,846

As of September 30, 2025, PAL was compliant with the required coverage ratio for the US Dollar

and Japanese Yen asset-backed securities presented as part of “Long-term debt”.

Php13.01 billion Aircraft Financing

In February 2025, PAL entered into Purchase Agreement and Facility Agreement to secure financing for two of its owned Airbus A330-300 and five Airbus A321-231 aircraft. In May 2025, it entered into similar agreements for three more Airbus A321-231 aircraft, followed by another set in June 2025 for one additional Airbus A321-231 aircraft. Finally, in September 2025, PAL entered into a purchase and facility agreement for the last Airbus A330-300. In addition, these aircraft were leased back to PAL. The Group assessed that the sale of aircraft to the purchaser-lessor does not qualify as a sale under PFRS 15 and instead covered by PFRS 9 and PFRS 16.

The Group Recognized the obligations as part of lease liability amounting to ₱13.01 billion (\$223.50 million). Transaction costs arising from these arrangements amounted to ₱138.30 million (\$2.38 million).

As of September 30, 2025, the carrying amount of obligation amounted to ₱11.94 billion, with current portion amounting to ₱2.65 billion. The total financing charges amounted to ₱437.61 million in 2025.

14. Reserves and Other Noncurrent Liabilities

	September 30, 2025	December 31, 2024
Deferred revenue under frequent flyer program	₱7,652,308	₱8,286,759
Provisions	2,550,789	2,549,461
Other noncurrent liabilities	795,944	791,200
	₱10,999,041	₱11,627,420

Deferred revenue under frequent flyer program

A portion of passenger revenue attributable to the award of frequent flyer miles is deferred until they are utilized. The unredeemed miles are measured at fair value based on its relative stand-alone selling price. Redeemed miles are measured based on the weighted average value of miles. Any remaining unutilized benefits are recognized as revenue upon redemption or expiry.

An estimate is also made of the number of miles that will expire (“breakage”) based on historical expiry patterns and any known future changes to frequent flyer program. The Group’s estimate of the expected breakage of miles requires management judgement. Changes to breakage assumptions, or to program rules and program redemption opportunities, may result in material changes to the deferred revenue balance as well as recognized revenues from the program.

Effective July 1, 2025, the Group reassessed its estimate of the expected breakage rate for the frequent flyer program due to the implementation of a new data analytics and member tracking system, enabling a more granular assessment of redemption probabilities by member activity segment. Based on this updated data and observed post-pandemic redemption behavior, the group determined that a higher proportion of outstanding miles are expected to expire compared to previous estimates. Revenue from the estimated breakage of frequent flyer miles amounted to ₱1.84 billion (\$32.10 million) for the period ended September 30, 2025.

Provisions

Provisions consist substantially of probable claims and other litigations involving the Group. The timing of the cash outflows of these provisions is uncertain as it depends upon the outcome of the Group’s negotiations and/or legal proceedings, which are currently ongoing with the parties involved.

Disclosure of additional details beyond the present disclosures may seriously prejudice the Group’s position. Thus, as allowed by PAS 37, Provisions, Contingent Liabilities and Contingent Assets, only general descriptions were provided.

15. Equity

The Parent Company's capital stock consists of:

	No. of Shares		Amount (In thousands)	
	September 30, 2025	December 31, 2024	September 30, 2025	December 31, 2024
Authorized (₱1 par value)				
Beginning of the year	30,000,000,000	13,500,000,000	₱30,000,000	₱13,500,000
Addition during the year	-	16,500,000,000	-	16,500,000
End of year	30,000,000,000	30,000,000,000	₱30,000,000	₱30,000,000
Issued and subscribed				
Beginning of year	26,852,131,905	11,611,003,257	₱25,040,882	₱9,799,753
Issuances during the year	-	15,241,128,648	-	15,241,129
End of year	26,852,131,905	26,852,131,905	₱25,040,882	₱25,040,882
Treasury stock	(25,015)	(25,015)	(25)	(25)
	26,852,106,890	26,852,106,890	₱25,040,857	₱25,040,857

On September 27 and November 25, 2021, the BOD, by majority vote, and by the vote of the stockholders owning or representing at least 2/3 of the outstanding capital stock of the Parent Company, respectively, approved the increase in authorized capital stock from ₱13.50 billion divided into 13.50 billion common shares with par value of ₱1.00 per share to ₱30.00 billion divided into 30.00 billion common shares with a par value of ₱1.00 per share. On December 29, 2021, the Company submitted to the Philippine SEC its application for increase in authorized capital stock.

Relative to the said increase in authorized capital stock, the Parent Company received from BSHI deposits amounting to \$75.00 million (₱3.81 billion) and \$25.00 million (₱1.27 billion) on October 6 and 8, 2021, respectively, and \$65.00 million (₱3.29 billion) and ₱4.47 billion on November 2, 2021. As of December 31, 2023, the deposits received from BSHI to be used for subscription of capital stock of the Parent Company totaling ₱12.91 billion are presented as "Deposits for future stock subscription" under equity.

On June 29, 2023, the Parent Company filed an amendment to its pending application for increase in authorized capital stock to include the additional subscriptions in support of the increase. In addition to the cash previously received by the Parent Company as payment for the shares to be issued from the increased capital, the Parent Company also received 323,771,912 common shares of PAL owned by the non-controlling shareholders (the Supporting Creditors of PAL under the Plan) in exchange for 5,041,128,648 new common shares of the Parent Company at the exchange ratio of 15.57 Parent Company shares for every 1 PAL share.

On April 15, 2024, the Parent Company and PAL completed the share-swap process. Consequently, the Parent Company's ownership interest in PAL increased to 97.89%, from 79.49%. The excess of the carrying value of the shares of the Parent Company that were issued to the non-controlling shareholders of PAL over the relative net assets acquired was recognized as Other Equity Reserve amounting to ₱201.98 million.

The Parent Company also issued 10,200,000,000 new common shares BSHI by applying the deposit for future stock subscription. Thus, BSHI direct ownership in the Parent Company increased to 37.99%.

16. Expenses

The significant components of expenses by nature are as follows:

	Nine Months Ended September 30	
	2025	2024
Fuel and oil	₱38,909,741	₱42,453,771
Depreciation, amortization and obsolescence	16,745,696	12,620,442
Repairs and maintenance	15,087,155	16,860,485
Crew and staff costs	11,328,705	10,268,856
Ground handling charges	8,377,999	8,015,875
Landing and take-off fees	6,541,616	4,865,538
Reservation and selling costs	3,953,746	3,729,669
Passenger food	3,581,043	3,451,099
Aircraft lease rentals	2,745,948	2,805,670
Utilities	2,219,235	1,740,128
Flight amenities	1,776,181	1,650,326
Outside services	811,886	879,700
Professional fees	437,123	292,578

17. Commitments

Aircraft Purchase Agreements

Airbus aircraft

In January 2015, by virtue of an amendment to the Purchase Agreement executed in August 2012, the Group purchased two additional Airbus A321-271 NEO aircraft and revised the delivery of its firm orders of 10 Airbus A321-231 CEO aircraft from the original schedule of delivery in years 2015 to 2016 to years 2021 to 2025 and converted the same into Airbus A321-271 NEO.

In July 2021, the Group and Airbus amended the Purchase Agreement that covers amendment to certain terms and conditions including the rescheduled delivery of NEO Aircraft within 2026 to 2029. As of September 30, 2025 and December 31, 2024, the remaining aircraft that are for delivery in the future include 13 Airbus A321-271 NEO.

In June 2023, the Group and Airbus entered into a new Purchased Agreement to purchase nine Airbus A350-1000 to be delivered from 2025 to 2027. In addition, Airbus granted the Group the right to purchase up to three additional Airbus A350-1000 aircraft.

In December 2023, the Group and Airbus amended the Airbus A350-1000 Purchase Agreement to revise the delivery date of the fourth Airbus A350-1000 aircraft from second half of the 2026 to third quarter of the same year.

Total predelivery payments relating to the acquisition of the remaining undelivered Airbus A321-231 NEO aircraft and Airbus A350-1000 aircraft under the Purchase Agreements amounted to ₱21.33 billion and ₱16.54 billion as of September 30, 2025 and December 31, 2024, respectively.

Spare Engine Purchase Agreements

Rolls Royce PLC

In June 2023, in support of PAL's acquisition of nine Airbus A350-1000 aircraft and three Airbus A350-1000 aircraft purchase rights, PAL and Rolls Royce PLC entered into an Engine Support and Total Care Agreement relating to Trent XWB-97 engines. A purchase agreement for the three Trent XWB-97 spare engines was also entered by both parties with the expected deliveries from 2025 to

2027. Total deposits related to these spare engines amounted to ₱1.70 billion and ₱1.53 billion as of September 30, 2025 and December 31, 2024, respectively.

The TotalCare will commence from the date of delivery to PAL's first Aircraft with each Engine remaining within the TotalCare for a minimum of 12 years ("Minimum Term"), and will be continuing until the PAL sells, retires, or otherwise dispose of all of the Aircraft, which PAL may do at any time after the Minimum Term for an Engine, subject to an agreed notice period.

International Aero Engines, LLC ("IAE LLC")

In March 2016, PAL and International Aero Engines, LLC (IAE) entered into a Purchase Agreement relating to the purchase of three (3) firm spare engines and three (3) purchase right spare engines (the "Engine Purchase Agreement"). PAL and IAE entered subsequent amendments to amend the terms of the purchase agreement.

In February 2025, IAE issued a Credit Memo in the amount of ₱1.53 billion (\$ 26.34 million) for AOG Special Support Compensation. The purpose of these credits is to alleviate the financial impact resulting from aircraft downtime caused by AOG engine issues for the period October 2023 to September 2024. This amount was included as part of Other income (charges) – net" in consolidated income statements.

Concurrently, PAL took delivery of the fifth spare engine (ESN 801772) on February 28, 2025 and sixth spare engine (ESN 801982) on July 30, 2025. PAL utilized the Aircraft on Ground (AOG) credits to fully settle the purchase price of \$12.89 million for ESN 801772 and \$12.93 million for ESN 801982.

Aircraft and Engine Leases - Group as Lessee

The future minimum lease payments related to the lease agreements of aircraft and engines are as follows:

	September 30, 2025	December 31, 2024
Due within one year	₱19,923,342	₱17,866,354
Due after one year but within five years	46,793,658	39,640,716
More than five years	5,655,022	8,878,340
	₱72,372,022	₱66,385,410

Ground Property Leases

In 2013, PAL entered into a lease agreement with Manila International Airport Authority (MIAA) covering a parcel of land situated at Aviation Support Industrial Area 2 (formerly Nayong Pilipino) to be utilized as an aircraft parking facility. This lease agreement is for a period of 25 years commencing on December 31, 2013. The lease agreement was subsequently assigned by the MIAA to New NAIA Infra Corp, (NNIC), the new concessionaire of Ninoy Aquino International Airport (NAIA) effective September 14, 2024. In meantime, PAL continues to lease and use the property, which is effective until 2038.

In 2014, PAL required additional space and entered into a lease agreement with PAGCOR covering an adjoining parcel of land intended to be used for aircraft parking as well. This lease was valid until the effectivity of the legislative franchise of PAGCOR. In 2024, the parties mutually agreed to terminate the lease agreement effective on July 3, 2024.

On June 2025, PAL entered into a lease agreement with MIAA covering parcels of land along NAIA Complex to be utilized for the in-flight catering facilities and date center. The lease agreement is for a period of 15 years, subject to payment of fixed monthly rent with 5% annual escalation rate, concession privilege fee and other charges.

The carrying value of this ground property under lease amounted to ₱641.16 million and ₱660.52 million as of September 30, 2025 and December 31, 2024, respectively.

As of December 31, 2024 and 2023, the Group has short-term lease agreements on various ground properties ranging from three to 12 months.

18. Financial Risk Management Objectives and Policies

Risk Management Structure

BOD

The BOD is mainly responsible for the overall risk management approach and for the approval of risk strategies and policies of the Group.

Treasury Department

The Treasury Department has the overall responsibility for the development of financial risk strategies, principles, frameworks, policies and limits. It establishes a forum of discussion of the Group's approach to financial risk issues (fuel price and foreign exchange risk, in particular) in order to make relevant decisions.

In addition, the Department is responsible for the comprehensive monitoring, evaluation, and analysis of the Group's financial risks in line with the policies and limits set by the Department.

Financial Risk Management

The Group's principal financial instruments consist of loans and borrowings and cash and cash equivalent. The main purpose of these financial instruments is to raise financing for the Group's operations. The Group has various other financial assets and financial liabilities such as receivables, short-term investments, accounts payable, accrued expenses and deposits which arise directly from its operations. The main risks arising from the use of financial instruments are market risks (consisting of foreign exchange risk, cash flow interest rate risk and fuel price risk), liquidity risk, counterparty risk and credit risk.

Market risks

The Group's operating, investing and financing activities are directly affected by changes in foreign exchange rates, interest rates and fuel prices. Increasing market fluctuations in these variables may result in significant equity, cash flow and profit volatility risks for the Group. For this reason, the Group seeks to manage and control these risks primarily through its regular operating and financing activities. Management of financial market risk is a key priority for the Group. The Group generally applies sensitivity analysis in assessing and monitoring its market risks. Sensitivity analysis enables management to identify the risk position of the Group as well as provide an approximate quantification of the risk exposures. Estimates provided for foreign exchange risk, cash flow interest rate risk and fuel price risk are based on the historical volatility for each market factor, with adjustments being made to arrive at what the Group considers to be reasonably possible.

Foreign exchange risk

The Group is exposed to foreign exchange rate fluctuations arising from its revenue, expenses and borrowings in currencies other than its functional currency. The Group manages this exposure by matching its receipts and payments for each individual currency. Any surplus is sold as soon as practicable.

The Group's significant foreign currency-denominated monetary assets and liabilities (in Philippine Peso equivalent) are as follows:

	September 30, 2025	December 31, 2024
Financial Assets and Financial Liabilities		
Financial assets:		
Cash	₱5,430,718	₱5,419,035
Receivables	9,162,573	16,618,174
Others*	5,248,078	4,361,051
	19,841,369	26,398,260
Financial liabilities:		
Accounts payable and accrued expenses	(6,395,605)	(3,881,284)
Others**	(593,541)	(495,963)
	(6,989,146)	(4,377,247)
Net foreign currency-denominated financial assets	12,852,223	22,021,013
Nonfinancial Liabilities		
Accrued employee benefits	(15,796,665)	(15,175,173)
Provisions	(1,612,378)	(1,616,710)
	(17,409,043)	(16,791,883)
Net Foreign Currency-denominated Monetary Assets (Liabilities)	(₱4,556,820)	₱5,229,130

* Includes miscellaneous deposits and security deposits.

** Substantially pertaining to passenger taxes.

The Group recognized net foreign exchange gain (loss) amounting to ₱0.81 billion for the period ended September 30, 2025 and (₱1.85) million for the year ended December 31, 2024, included under "Other income (charges) - net" in the consolidated statements of comprehensive income arising from the translation and settlement of these foreign currency-denominated financial and nonfinancial instruments. The Group's foreign currency-denominated exposures comprise primarily of Philippine peso (PHP) and Japanese Yen (JPY). Other foreign currency exposures include Canadian dollar (CAD), Euro (EUR), Australian dollar (AUD), Singaporean dollar (SGD), Chinese Yuan (CNY), Thai Baht (THB) and Hong Kong dollar (HKD), Saudi riyal (SAR) and Emirati dirham (AED).

Cash flow interest rate risk

The Group's exposure to cash flow interest rate risk arises from the regular repricing of interest on its floating-rate loans. The Group's policy on interest rate risk is designed to limit the Group's exposure to fluctuating interest rates. The ratio of floating-rate long-term loans to the total borrowings is 0.81:1 and 0.75:1 as of September 30, 2025 and December 31, 2024, respectively.

Fuel price risk

The Group is exposed to price risk on jet fuel purchases. This risk is managed by a combination of strategies with the objective of managing price levels within an acceptable band through various types of derivatives. The Group implements such strategies to manage and minimize the risks within acceptable risk parameters. As of September 30, 2025 and December 31, 2024, the Group had no outstanding fuel derivatives.

Liquidity risk

Liquidity risk arises from the possibility that the Group may encounter difficulties in raising funds to meet commitments from financial instruments (e.g., long-term obligations) or that a market for derivatives may not exist in some circumstances.

The Group's objectives to manage its liquidity profile are: (a) to ensure that adequate funding is available at all times; (b) to meet commitments as they arise without incurring unnecessary costs;

(c) to be able to access funding when needed at the least possible cost; and (d) to maintain an adequate time spread of refinancing maturities.

The tables below summarize the maturity analysis of the Group's financial liabilities based on contractual undiscounted payments (principal and interest):

	September 30, 2025						Total
	<1 Year	>1-<2 Years	>2-<3 Years	>3-<4 Years	>4-<5 Years	>5 Years	
Accounts payable and accrued expenses*	28,553,235	-	-	-	-	-	28,553,235
Lease Liabilities**	20,187,494	16,671,583	13,797,166	10,447,346	6,599,077	7,492,968	75,195,634
Long-term debt***	8,678,653	5,947,515	3,679,791	-	-	-	18,305,959
	28,866,147	22,619,098	17,476,957	10,447,346	6,599,077	7,492,968	93,501,593
	₱57,419,382	₱22,619,098	₱17,476,957	₱10,447,346	₱6,599,077	₱7,492,968	₱122,054,828

*Excludes nonfinancial liabilities amounting to ₱ 2,242,482.

**Includes interest amounting to ₱ 11,815,708.

***Includes interest amounting to ₱ 1,411,777.

	December 31, 2024						Total
	<1 Year	>1-<2 Years	>2-<3 Years	>3-<4 Years	>4-<5 Years	>5 Years	
Accounts payable and accrued expenses*	₱29,637,546	₱-	₱-	₱-	₱-	₱-	₱29,637,546
Lease liabilities**	18,029,766	14,525,227	11,091,721	8,526,874	5,883,935	9,531,411	67,588,934
Long-term debt***	10,491,463	7,569,192	5,840,783	2,255,897	-	-	26,157,335
	28,521,229	22,094,419	16,932,504	10,782,771	5,883,935	9,531,411	93,746,269
	₱58,158,775	₱22,094,419	₱16,932,504	₱10,782,771	₱5,883,935	₱9,531,411	₱123,383,815

*Excludes nonfinancial liabilities amounting to ₱4,018,905.

**Includes interest amounting to ₱11,061,990.

***Includes interest amounting to ₱2,463,849.

The Group's total financial liabilities to be settled within one year currently amounting to ₱57.97 billion and ₱58.16 billion as of September 30, 2025 and December 31, 2024, include accounts payable and accrued expenses classified as current liabilities totaling to ₱28.55 billion and ₱29.64 billion, respectively. Management considers these current liabilities as working capital. For the other liabilities totaling amounting to ₱28.87 billion and ₱28.52 billion as of September 30, 2025 and December 31, 2024, respectively, management expects to settle these from the Group's cash to be generated from operations.

The following are the Group's financial assets as of September 30, 2025 and December 31, 2024 used to manage liquidity risk, particularly those financial liabilities that will mature in less than a year:

	September 30, 2025						Total
	<1 Year	>1-<2 Years	>2-<3 Years	>3-<4 Years	>4-<5 Years	>5 Years	
Cash	₱13,640,108	₱-	₱-	₱-	₱-	₱-	₱13,640,108
Loans and receivables:							
Cash equivalents	9,829,395	-	-	-	-	-	9,829,395
Receivables – net*	6,788,102	-	-	-	-	-	6,788,102
	₱30,257,605	₱-	₱-	₱-	₱-	₱-	₱30,257,605

*Excludes receivables arising from statutory requirements, net of allowance, amounting to ₱11,523.

	December 31, 2024						Total
	<1 Year	>1-<2 Years	>2-<3 Years	>3-<4 Years	>4-<5 Years	>5 Years	
Cash	₱13,495,276	₱-	₱-	₱-	₱-	₱-	₱13,495,276
Loans and receivables:							
Cash equivalents	9,773,202	-	-	-	-	-	9,773,202
Receivables – net*	21,408,480	-	-	-	-	-	21,408,480
	₱44,676,958	₱-	₱-	₱-	₱-	₱-	₱44,676,958

*Excludes receivables arising from statutory requirements, net of allowance, amounting to ₱51,019.

Counterparty risk

The Group's counterparty risk encompasses issuer risk on investment securities, credit risk on cash in banks, time deposits and security deposits and settlement risk on derivatives. The Group manages its counterparty risk by transacting with counterparties of good financial condition and selecting investment grade securities. Settlement risk on derivatives is managed by limiting aggregate exposure

on all outstanding derivatives to any individual counterparty, taking into account its credit rating. The Group also enters into master netting arrangements and implements counterparty and transaction limits to avoid concentration of counterparty risk.

The tables below show the maximum counterparty exposure as of September 30, 2025 and December 31, 2024 after taking into account information about rights of offset and related arrangements for financial instruments subject to master netting agreements:

September 30, 2025						
	Gross Maximum Exposure	Gross amounts offset in accordance with the offsetting criteria	Net amount presented in statements of financial position	Master netting agreement	Fair value of financial collateral	Net exposure
Financial Assets						
Cash in banks and cash equivalents	₱23,292,461	₱–	₱23,292,461	₱–	₱–	₱23,292,461
Receivables	6,788,102	–	6,788,102	–	2,631,087	4,157,015
Margin deposits, lease deposits and others	9,404,798	–	9,404,798	–	–	9,404,798
	₱39,485,361	₱–	₱39,485,361	₱–	₱2,631,087	₱36,854,274

December 31, 2024						
	Gross Maximum Exposure	Gross amounts offset in accordance with the offsetting criteria	Net amount presented in statements of financial position	Master netting agreement	Fair value of financial collateral	Net exposure
Financial Assets						
Cash in banks and cash equivalents	₱23,268,478	₱–	₱23,268,478	₱–	₱–	₱23,268,478
Receivables	28,169,044	–	28,169,044	–	2,361,272	25,807,772
Margin deposits, lease deposits and others	12,707,968	–	12,707,968	–	–	12,707,968
	₱64,145,490	₱–	₱64,145,490	₱–	₱2,361,272	₱61,784,218

In an event of default or pre-termination of derivative contracts, the parties can apply master netting agreement. As of September 30, 2025 and December 31, 2024, there was no default or pre-termination event which required the application of the master netting agreements.

Credit risk

The Group's exposure to credit risk arises from the possibility that agents, financial institutions and other counterparties may fail to fulfill their agreed obligations and that the collaterals held may not be sufficient to cover the Group's claims. To manage such risk, the Group, through its Credit Monitoring and Control Division, employs a credit evaluation process prior to the accreditation or re-accreditation of its travel and cargo agents. The Group considers, among other factors, the size, paying habits and the financial condition of the agents. To further mitigate the risk, the Group requires from its agents financial guarantees in the form of cash bonds, letters of credit and assignment of time deposits.

The Group, to the best of its knowledge, has no significant concentration of credit risk with any counterparty.

19. Fair Value Measurement

Fair Values

The table below presents the Group's financial instruments measured at fair value and financial instruments for which fair values are disclosed:

	September 30, 2025		December 31, 2024	
	Carrying Value	Fair Value	Carrying Value	Fair Value
Financial Assets				
Financial assets at amortized cost- margin deposit, lease deposits and others	₱9,404,798	₱9,404,798	₱12,707,968	₱12,707,968
Financial assets at FVTOCI	716,408	716,408	875,335	875,335
Financial Liabilities				
Financial liabilities carried at amortized cost:				
Lease liabilities	63,379,926	71,319,489	56,526,944	63,496,225
Long-term debt	16,894,182	17,407,529	23,693,486	24,622,708

The carrying amounts of cash and cash equivalents, short-term investments, receivables, notes payable, accounts payable and accrued expenses approximate their fair value due to the short-term nature of these accounts.

The following methods and assumptions are used to estimate the fair value of each class of financial instruments that is different from their carrying amount:

Financial assets at FVTOCI

The fair values of quoted equity investments are based on market prices in active markets.

As of September 30, 2025 and December 31, 2024, the fair value of unquoted equity investments is based on Level 3. Significant inputs in determining the fair value are the market prices of the shares of comparable companies.

Margin deposits, lease deposits and others

As of September 30, 2025 and December 31, 2024, the margin deposits, lease deposits and others are classified as current as such their carrying amounts approximate their fair values.

Long-term obligations

The fair value of long-term obligations (whether fixed or floating) is generally based on the present value of expected cash flows with discount rates that are based on risk-adjusted benchmark rates (in the case of floating rate liabilities with quarterly repricing, the carrying value approximates the fair value in view of the recent and regular repricing based on current market rates). The discount rates used for USD-denominated loans ranged from 2.65% to 5.44% and 2.65% to 5.65% as of September 30, 2025 and December 31, 2024, respectively.

Fair Value Hierarchy

As of September 30, 2025

	Fair value measurement using			
	Total	Quoted prices in active markets (Level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)
Assets and liabilities measured at fair value:				
Financial assets at FVTOCI:				
Quoted equity shares	₱597,325	₱597,325	₱–	₱–
Unquoted equity shares	119,083	–	–	119,083
Property and equipment	923,920	–	–	923,920
Assets held for sale	–	–	–	–
Assets and liabilities for which fair values are disclosed:				
Margin deposits, lease deposits and others	9,404,798	–	9,404,798	–
Lease liabilities	71,319,489	–	71,319,489	–
Long-term debt	17,407,529	–	17,407,529	–
Investment properties	742,465	–	–	742,465

As of December 31, 2024

	Fair value measurement using			
	Total	Quoted prices in active markets (Level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)
Assets and liabilities measured at fair value:				
Financial assets at FVTOCI:				
Quoted equity shares	₱757,852	₱757,852	₱–	₱–
Unquoted equity shares	117,483	–	–	117,483
Property and equipment	1,039,359	–	–	1,039,359
Assets and liabilities for which fair values are disclosed:				
Margin deposits, lease deposits and others	12,707,968	–	12,707,968	–
Lease liabilities	63,496,225	–	63,496,225	–
Long-term debt	24,622,708	–	24,622,708	–
Investment properties	737,987	–	–	737,987

There were no transfers between hierarchy levels during the nine months ended September 30, 2025 and year ended December 31, 2024.

PAL HOLDINGS, INC. AND SUBSIDIARIES

SELECTED EXPLANATORY NOTES

As of September 30, 2025 and December 31, 2024

And for the Nine Months Ended September 30, 2025 and 2024

(As required under Par. 7 (d) Selected Explanatory Notes Required Under SRC Rule 68, as Amended 2011)

- a. The Company's interim consolidated financial reports are in compliance with generally accepted accounting principles in the Philippines as set forth in the Philippine Financial Reporting Standards (PFRS). The financial statements of Philippine Airlines, Inc (PAL) were originally presented in United States dollars, which is their functional currency were restated to Philippine peso for purposes of combination of financial statements in accordance with PFRS 10, Consolidated Financial Statements.

- b. Explanatory comments on the seasonality or cyclicalities of interim operations.

PAL and APC normally experience a peak in holiday travel during the months of January, April, May, June and December.

- c. The nature and amount of items affecting assets, liabilities, equity, net income, or cash flows which are unusual because of their nature, size, or incidents.

Not applicable. There were no items affecting assets, liabilities, equity, net income, or cash flows that are unusual because of their nature, size, or incidents.

- d. The nature and amount of changes in estimates of amounts reported in prior interim periods of the current financial year or changes in estimates of amounts reported in prior financial years, if those changes have a material effect in the current interim period.

Please refer to Note 14 of the Consolidated Financial Statements for the change in accounting estimate of revenue from breakage of Mabuhay Miles.

- e. Issuances, repurchases, and repayments of debt and equity securities.

There were no issuances, repurchases, and repayments of debt and equity securities during the interim period.

- f. Dividends paid (aggregate or per share) separately for ordinary shares and other shares.

Not applicable. There were no dividends paid during the interim period.

- g. Segment revenue and segment result for business segments or geographical segments, whichever is the issuer's primary basis of segment reporting.

Segment Information

The Group has one reportable operating segment, which is the airline business (system-wide). This is consistent with how the Group's management internally monitors and analyzes the financial information for reporting to the chief operating decision-maker, who is responsible for allocating resources, assessing performance and making operating decisions.

The revenues of the operating segment are mainly derived from rendering transportation services and all sales are made to external customers.

Segment information for the reportable segment is shown in the following table:

	Nine Months Ended September 2025	Nine Months Ended September 2024
Revenue	₱136,012,381	₱132,447,432
Interest income	661,434	1,493,953
Financing charges	4,481,839	5,417,401
Depreciation, amortization and obsolescence	16,743,746	13,102,382
Net income	9,881,059	8,075,314

The reconciliation of total revenue reported by reportable operating segment to revenue in the consolidated statements of comprehensive income is presented in the following table:

	Nine Months Ended September 2025	Nine Months Ended September 2024
Total segment revenue of reportable operating segments	₱135,943,852	₱132,382,318
Other revenue	68,529	65,114
Total revenue	₱136,012,381	₱132,447,432

The reconciliation of total income reported by reportable operating segment to total comprehensive income in the consolidated statements of comprehensive income is presented in the following table:

	Nine Months Ended September 2025	Nine Months Ended September 2024
Total segment income of reportable segments	₱10,083,209	₱11,333,922
Add (deduct) unallocated items:		
Other revenue	68,529	65,114
Non-transport expenses and other charges	596,849	(2,889,030)
Income tax expense	(867,528)	(434,692)
Net income	9,881,059	8,075,314
Other comprehensive income	263,772	538,445
Total comprehensive income	₱10,144,831	₱8,613,759

The Group's major revenue-producing asset is the fleet owned by Group, which is employed across its route network.

Disaggregation of Revenue

The disaggregation of the total segment revenue is presented in the consolidated statements of comprehensive income.

- h. Material events subsequent to the end of the interim period that have not been reflected in the financial statements for the interim period.

Not applicable. The Company has no material event subsequent to the end of the interim period that has not been reflected in the financial statements for the interim period.

- i. The effect of changes in the composition of the issuer during the interim period, including business combinations, acquisition or disposal of subsidiaries and long-term investments, restructurings, and discontinuing operations.

Not applicable. There were no changes in the composition of the Company during the interim period.

- j. Changes in contingent liabilities or contingent assets since the last annual balance sheet date.

Not applicable. The Company has no contingent liabilities or assets.

- k. Existence of material contingencies and any other events or transactions that are material to an understanding of the current interim period.

Not applicable. There were no contingencies and any other events or transactions that are material to an understanding of the current interim period.

Annex “B”

PAL HOLDINGS, INC. AND SUBSIDIARIES

Management’s Discussion and Analysis of
Financial Condition and Results of Operations

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations

Results of Operations

Nine Months Ended September 30, 2025 versus September 30, 2024

The Company reported a total comprehensive income of ₱10.14 billion for the period ended September 30, 2025, 17.78% or ₱1.53 billion higher than last year's same period total comprehensive income of ₱8.61 billion.

Consolidated revenues amounted to ₱136.01 billion, an increase of ₱3.56 billion or 2.69% compared to ₱132.45 billion during the same period last year due to the significant increase in cargo and ancillary revenues.

Passenger revenues increased by 0.78% to ₱116.56 billion, reflecting an increase of ₱0.90 billion from ₱115.66 billion in the same period last year. The growth was mainly attributed to an increase in Mabuhay Miles related revenues, other pax and ancillary revenues driven by an increase in the volume of ticket sales.

Cargo revenues increased to ₱6.71 billion or ₱0.23 billion higher than the last year's ₱6.47 billion, primarily driven by increased cargo volume during the period.

Ancillary revenues grew by ₱2.43 billion or 23.69% to ₱12.67 billion from ₱10.24 billion in the previous year, primarily driven by prior period revenue adjustments and higher demand for seat upgrades.

Consolidated operating expenses for the current period amounted to ₱124.85 billion, reflecting a 3.97% increase of ₱4.76 billion compared to ₱120.09 billion in the same period last year.

Flying operations expenses incurred for the nine months ended September 30, 2025, amounted to ₱64.01 billion, a decrease of ₱0.69 billion compared to ₱64.69 billion in the same period last year. The decline was primarily due to lower Fuel and Oil expenses reflecting a reduction in average fuel prices. This was partially offset by increase in Flight Depreciation resulting from the capitalization of major engine and aircraft repairs. Transportation expenses also increased due to increase in operating costs.

Aircraft and traffic servicing expenses increased to ₱16.58 billion, representing a ₱2.71 billion or 19.56% from ₱13.87 billion in the same period last year. The increase was mainly driven by a 39.7% increase in landing and take-off fees, which rose from ₱4.13 billion in 2024 to ₱5.77 billion in 2025. This growth reflects the rate adjustments implemented by the NNIC starting in October 2024.

Passenger service expenses increased to ₱10.74 billion, representing 11.23% or ₱1.08 billion increases from ₱9.65 billion in the previous year. The increase was primarily attributable to higher cabin crew costs, increased spending on passenger meals and standard inflight provisions, driven by the rise in passenger volume and flights during the year.

Reservations and sales expenses increased by 9.98% or ₱0.99 billion, rising to ₱10.89 billion from ₱9.90 billion in the same period last year. The increase was primarily driven by higher system charges, increased credit card service fees, increased commissions and incentives for agents, and higher booking fees, reflecting the growth in passenger traffic and sales.

Other charges account for the period ended September 30, 2025, amounted to ₱0.41 billion, a decrease from ₱3.85 billion or 89.25% recorded as other charges during the same period last year. This was primarily due to credits granted to PAL by a vendor as special support compensation for aircraft grounded during 2023 and 2024. Additionally, financing charges dropped by 17.27% or ₱0.94 billion and other

income-net (a subcategory under other income/charges) increased by ₱2.50 billion.

For the period ended September 30, 2025, the Company recognized “Other Comprehensive Income” of ₱0.26 billion as compared with the other comprehensive income of ₱0.54 billion in the previous year. This was attributed mainly to the cumulative translation adjustments arising from exchange rate fluctuations.

Financial Condition

The Company’s consolidated total assets as of September 30, 2025, amounted to ₱220.28 billion, representing an increase of ₱7.02 billion from December 31, 2024 balance of ₱213.26 billion. The increase was primarily driven by the increase in Cash and Cash Equivalents and Property and Equipment, partially offset by a decline in Receivables due to collections and reclasses to noncurrent portions.

Total current assets decreased by ₱15.31 billion, from ₱60.68 billion as of December 31, 2024 to ₱45.37 billion as of September 30, 2025. The decrease was primarily due to the collection of receivables, utilization of prepayments and the reclassification of receivables to noncurrent assets due to extension of maturity date. This was partially offset by higher cash balances resulting from collections and loan availments.

Total noncurrent assets increased by ₱22.33 billion primarily due to the increase in Property and Equipment and Other Noncurrent Assets. The growth in Property and Equipment was driven by pre-delivery payments for A359-1000 and A321 Neo aircraft, capitalized engine repairs and acquisition of landing gear and engines. The increase in Other Noncurrent Assets resulted from the reclassification of Receivables due to extension of maturity date.

Consolidated total liabilities decreased to ₱167.25 billion as of September 30, 2025, from ₱170.38 billion as of December 31, 2024. The decline was primarily driven by reductions in accounts payable, accrued expenses, and reserves and other noncurrent liabilities.

Total stockholders’ equity amounted to ₱53.03 billion as of September 30, 2025, a 23.66% increase from ₱42.88 billion as of December 31, 2024. This was mainly driven by the recognition of consolidated total comprehensive income for the first nine months of the current year.

The Company’s key performance indicators are the following:

1. Total Comprehensive Income/Loss Attributable to Equity Holders

The Company’s consolidated total comprehensive income attributable to equity holders of the parent for the nine months ended September 30, 2025 and 2024 amounted to ₱9.22 billion and ₱7.10 billion, respectively.

2. Current Ratio

The Company has a current ratio of 0.55:1 as of September 30, 2025 and 0.70:1 as of December 31, 2024.

3. Debt to Equity Ratio

Debt to equity ratio as of September 30, 2025 was at 1.51 compared to 1.87 as of December 31, 2024.

4. Basic Earnings/Loss Per Share

The Company’s earnings per share based on total net income attributable to equity holders of the

parent were ₱0.336 and ₱0.363 for the nine months ended September 30, 2025 and 2024, respectively. The Company's earnings per share based on total comprehensive income attributable to equity holders of the parent were ₱0.343 and ₱0.382 for the nine months ended September 30, 2025 and 2024, respectively.

The manner by which the Company calculates the above indicators are as follows:

Current Ratio = Current Assets / Current Liabilities

Debt to Equity Ratio = Notes Payable + Current and Noncurrent Long-term
Obligations / Total Equity (Capital Deficiency)

Earnings (Loss) Per Share = Net Income (Loss) or Total Comprehensive Income
(Loss) Attributable to Holders of Parent Company / Common Shares Outstanding

TOP FIVE KEY PERFORMANCE INDICATORS OF PAL

Key Performance Indicator	Measurement Methodology	September 30, 2025	December 31, 2024
Total Revenues (in Php Billions)	Total flown revenues generated from passengers and cargo carried	₱137.3	₱179.7
EBITDA Margin (%)	Earnings before interest, taxes, depreciation & Amortization divided by Total Revenues	18.5%	20.4%
Net Income Margin (%)	Net Income after tax divided by Total Revenues	6.7%	4.7%
Net Promoter Score: Customers	Net Promoter Score is derived by Total Revenues	+48.4	+43
On-Time Performance	Number of flights operated less number of flights delayed over total flights operated	82.92%	78.03%

Trends, Uncertainties or Contingencies That May Affect Group's Liquidity in the Next Twelve Months:

- i. PAL is a petitioner in various cases pending before the Court of Tax Appeals (CTA) and the Bureau of Internal Revenue (BIR) for the refund of excise taxes paid by PAL under protest in connection with its importation of commissary items used for operation in the aggregate amount of ₱157.68 million. The total amount of refund granted by the CTA and the Supreme Court is ₱92.03 million and of which, the Supreme Court has affirmed with finality a grant of tax refund in a total amount of ₱54.71 million. All other cases are either ongoing trial with the CTA – Division or under appeal with the CTA – En Banc and the Supreme Court.

Aside from the importation of commissary items, PAL is also seeking refund of excise taxes paid under protest on its importation of aviation fuel. PAL filed various cases with the CTA in the aggregate amount of ₱3.26 billion and hearings are now ongoing with the CTA. As of this writing, the Supreme Court (SC) has affirmed with finality a grant of tax refund for aviation fuel in a total amount of ₱1.30 billion.

In line with its claims for refund of the foregoing taxes on fuel importation for its domestic operations, PAL has likewise filed for the Declaration of Nullity of a 2002 Department of Energy (DOE) Certification, a one-liner summation stating “there is locally available jet fuel in reasonable quantity, quality and price”, thereby effectively overriding PAL’s exemption under its franchise which states that tax exemption is enjoyed by PAL if there is no locally available aviation fuel in “reasonable quantity, quality or price.” On July 12, 2010, PAL obtained a Preliminary Injunction issued by the Regional Trial Court (RTC) against the Department of Finance (DOF) and DOE, enjoining the latter from implementing the 2002 DOE Certification. On February 27, 2014, PAL obtained a decision from the RTC declaring the aforementioned 2002 DOE certification as null and void and further declaring permanent the preliminary injunction previously issued (“**RTC Decision**”). In a Decision dated January 27, 2017, the Court of Appeals (CA) denied the appeal of DOF and DOE and affirmed the decision of the RTC. DOF and DOE then elevated the case to the Supreme Court. On January 10, 2024, PAL received a Notice of Judgement from the Supreme Court with attached decision dated April 26, 2023 wherein the Supreme Court ruled based on a procedural ground that the RTC has no jurisdiction to rule on the matter (“**SC Decision**”). However, the Supreme Court did not rule on the issue of the tax liability of PAL. On the contrary, regarding PAL’s excise taxes on its fuel importation for domestic operations, the Supreme Court specifically stated that all pending and granted refunds shall not be affected by the SC Decision. On January 24, 2024, PAL filed a Motion for Reconsideration on the SC Decision. On October 30, 2024, the SC denied PAL’s Motion for Reconsideration.

Other than the foregoing refund cases for the excise taxes paid on PAL’s importations of commissary items and aviation fuel, PAL has likewise been granted by the Supreme Court (SC) a total amount of ₱4.40 million for refund of other taxes, such as 5% withholding tax made by OWWA, 10% overseas Communication Tax made by PLDT, 20% and 7 ½% final tax withheld by depositary banks on PAL’s interest income, and 20% final withholding tax on PAL’s bank deposits.

PAL is also a petitioner in a case filed with the Commission on Audit (“COA”) for a money claim against Manila International Airport Authority (MIAA) where PAL requested for the refund of a total amount of ₱2.09 billion representing the overpayment of rentals made by PAL to MIAA from June 1999 up until October 2016. The basis of this case is the nullification of MIAA’s Resolution Nos. 98-30 and 99-11 which unilaterally increased the airport rental rates and MIAA’s approval of PAL’s claim as shown in its Board Resolution No. 2010-026. Up to date, PAL is awaiting action from the COA.

Except for the foregoing, PAL or any of its subsidiaries or affiliates is not involved in, nor any of its properties the subject, of any legal proceeding and has no knowledge of any contemplated proceeding by any government authority involving an amount exceeding ₱6.20 billion (10% of its total current assets) for the year ended September 30, 2025.

Other than those that have already been disclosed, there are no known trends, demands, commitments, events or uncertainties that may have a material impact on the Group’s liquidity.

- ii. There are no known events that will trigger direct or contingent financial obligation that is material to the Group, including any default or acceleration of an obligation.
- iii. There are no known material off-balance sheet transactions, arrangements, obligations (including contingent obligations), and other relationships of the Company with unconsolidated entities or other persons created during the reporting period.
- iv. Commitments for capital expenditures

In June 2023, the Group and Airbus entered into a new Purchased Agreement to purchase nine Airbus A350-1000 to be delivered from 2025 to 2027 and granted the Group the right to purchase

up to three additional Airbus A350-1000 aircraft. In addition, as of June 30, 2025, there is an outstanding order for thirteen (13) Airbus A321-231 NEO aircraft for delivery between 2026 and 2029.

- v. There are no known trends, events or uncertainties that have had or that are reasonably expected to have material favorable or unfavorable impact on net sales or revenues or income from continuing operations.
- vi. There are no significant elements of income or loss that will arise from continuing operations.
- vii. The causes for any material change from period to period which shall include vertical and horizontal analyses of any material item:

Results of our Horizontal (H) and Vertical (V) analyses showed the following material changes:

1. Receivables- H- (68.2%); V- (6.9%)
2. Other current assets- H- (9.6%)
3. Property and equipment at cost- H- 9.0%
4. Property and equipment at appraised- H- (11.1%)
5. Deferred income tax assets- H- (7.7%)
6. Other noncurrent assets- H- 73.6%
7. Accounts payable- H- (15.1%)
8. Accrued expenses and other current liabilities- H- (7.4%)
9. Current portion of long-term obligations- H- (5.4%)
10. Accrued employee benefits- H- 5.2%
11. Reserves and other noncurrent liabilities- H- (5.4%)
12. Other equity reserves – H- 36.3%
13. Retained Earnings- H- 361.0%
14. Ancillary- H- 23.7%
15. Other revenue- H- 5.2%
16. Aircraft and traffic servicing- H- 19.6%
17. Passenger service- H- 11.2%
18. Reservation and sales- H- 10.0%
19. General and administrative- H- 14.8%
20. Financing charges- H- (17.3%)
21. Other charges (income)-net- H- 159.7%
22. Income tax expense- H- 99.6%
23. Net Income- H- 22.4%
24. Total other comprehensive income (loss) - H- (51.0%)
25. Total comprehensive income- H- 17.8%

The causes for these material changes are explained in the management's discussion and analysis of results of operations and financial condition stated above.

- viii. PAL and APC normally experience a peak in holiday travel during the months of January, April, May, June and December.

**PAL HOLDINGS, INC.
AND SUBSIDIARIES**

AGING OF ACCOUNTS RECEIVABLE

As of September 30, 2025

(Amounts in Thousands Php)

(Unaudited)

	<u>Outstanding Amount</u>	<u>Current</u>	<u>Over 30 Days</u>	<u>Over 60 Days</u>	<u>Over 90 Days</u>	<u>Over 120 Days</u>	<u>Over 180 Days</u>	<u>Over 1 Year</u>	<u>Items under Litigation</u>
TRADE RECEIVABLES	7,928,709	2,340,206	550,283	321,161	454,507	852,278	1,351,174	2,059,100	-
NON-TRADE RECEIVABLES	6,139,676	505,132	174,356	45,271	31,628	25,187	51,671	4,679,311	627,120
TOTAL	14,068,385	2,845,338	724,639	366,432	486,135	877,465	1,402,845	6,738,411	627,120
ALLOWANCE FOR D.A.	7,268,760								
RECEIVABLES - NET	6,799,625								

**PAL HOLDINGS, INC.
AND SUBSIDIARIES**

FINANCIAL SOUNDNESS INDICATORS

Ratio	Formula	Sept-25	Dec-24
Current Ratio	Current Assets / Current Liabilities	0.55	0.70
Quick Asset Ratio	(Cash and Cash Equivalents + Receivables) / Current Liabilities	0.37	0.51
Debt-to-Equity Ratio	Total Debt* / Total Equity	1.51	1.87
Asset-to-Equity Ratio	Total Assets / Total Equity	4.15	4.97
Ratio	Formula	Sept-25	Sept-24
Interest Rate Coverage Ratio	EBIT / Interest Expense	3.40	2.57
Solvency Ratio	Net Income (Loss) + Depreciation / Total Debt*	0.33	0.26
Profitability Ratios:			
Profit Margin	Net Income (Loss) / Revenues	0.07	0.06
Return on Assets	Net Income (Loss) / Total Assets	0.04	0.04
Return on Equity	Net Income (Loss) / Total Equity	0.19	0.19

* Total debt includes notes payable, current portion and noncurrent portion of long-term obligations.